Landed Cost & Import Duty Policy

Atlas Trade Provisions LLC · effective FY2024 · capitalization of import costs to inventory

1. Components of landed cost

Inventory is recorded at landed cost: product cost plus inbound freight, import duty and customs fees, cargo insurance, and domestic logistics (drayage and inbound delivery) required to bring goods to the warehouse. These are capitalized to inventory, not expensed.

2. Import duty basis

Import duty is assessed by HTS classification on the **declared customs value** of each entry — not the supplier invoice amount. Where the declared customs value differs from the commercial invoice, duty follows the declared customs value shown on the customs entry. Duty rates are the HTS rates per the SKU/item master and the broker's entry summary.

3. Broker fees

Customs broker fees are a cost of acquiring imported inventory and are capitalized to landed cost on a per-entry basis, allocated with the other import components.

4. Period costs (not landed cost)

Avoidable container demurrage and detention, and post-receipt storage or handling, are period expenses and are excluded from landed cost. Realized or unrealized foreign-exchange differences are not inventory costs; they are recognized in FX gain/(loss).

5. Allocation

Per-container landed cost is allocated to SKUs on a value-plus-weight basis as set out in the landed-cost workpaper; per-unit landed cost is product plus the allocated import components.